

Financial Management

BBA — 4th Semester — 2024 — Answer Sheet

Subject Code: FIN207

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

Brief Answer Questions: $[10 \times 2 = 20]$

1. What do you mean by social responsibility?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. State causes of agency problem between shareholders and manager.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Write the meaning of financial plan.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Differentiate between payback period and discounted payback period.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Assume that the risk-free rate is 4 percent and the market risk premium is 6 percent. What is the required rate of return on stock X with its beta of 1.5?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. A firm has net income of Rs 15 million. Firm's debt ratio is 40 percent. Firm has investment opportunity of Rs 20 million. What would be firm's dividend amount if it uses residual dividend policy?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. What are the motives of holding cash?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Beta Company sells on credit terms of net 30. Its accounts are, on average, 40 days past due. If annual credit sales are Rs 18 million, what is the Beta's amount of accounts receivable? Assume 360 days a year.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Write the meaning of stock repurchase.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. You can buy an Apple Laptop at Yen 160,000 in Japan. The same Laptop costs Nepalese Rs 120,000 in Nepal. What is the exchange rate between Nepalese Rupee and Japanese Yen as per purchasing power parity?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions: (answer any SIX)[$6 \times 5 = 30$]

11. Describe financial management decisions.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. How does size of profit, liquidity position and investment opportunity affect dividend policy of a firm? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. Describe features of optimal capital structure of a business corporation.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. Koshi Chemical Fertilizer Centre (KCFC) sells 3,380,000 bags of lawn fertilizer annually. The fixed costs of placing and receiving are Rs 480 per order. The cost price of fertilizer is Rs 600 per bag. The annual cost of carrying this inventory item is 20 percent of the cost price. KCFC maintains 15,000 bags of fertilizer as safety stocks. The fertilizer supplier requires 2 weeks of lead time from order to delivery of the fertilizer.
a. What is the economic order quantity of fertilizer for KCFC?
b. What is the total inventory cost of fertilizer for KCFC?
c. What should be re-ordered point (level) of fertilizer for KCFC?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. Birat Trading Company (BTC) is considering changing its credit terms from 'net 40' to 'net 50', in order to increase sales. At present, average collection period is 45 days and it will be 60 days under proposed plan. The change will also affect in the present 2 percent level of bad debt to 2.5 percent on all credit sales. Due to change in credit terms, it is expected to increase in sales from Rs 6 million to Rs 7.2 million per year. The variable cost ratio is 70 percent, the cost of funds invested in accounts receivable is 10 percent, and the marginal corporate tax rate is 30 percent. Should BTC change its credit terms?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. XYZ Company has 100,000 shares outstanding. The current market price of the company is Rs 300 per share. Par value of stock is Rs 100 per share. Assume no tax effect and no market signaling effect; calculate number of shares and market price per share. a. If XYZ declares a 10 percent stock dividend. b. If XYZ declares 2-for-1 stock split.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

17. Suppose the exchange rate between US dollar and Indian Rupees (INR) is INR 83.22 per US dollar and the exchange rate between the Nepalese rupees (NPR) and Indian rupees (INR) is NPR 1.60 per INR. What is the cross exchange rate of NPR to US dollar? Also interpret the result.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Long Answer Questions: (answer any THREE) [3 × 10 = 30]

18. What is multinational financial management? Differentiate between domestic financial management and multinational financial management.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

19. Consider the Balance Sheet of Hulas Metal Company (HMC) as on December 31, 2023 given below:

Balance Sheet of Hulas Metal Company as on December 31, 2023	
Assets	Amount (Rs)
Cash	50,000
Accounts receivable	70,000
Accruals	50,000
Inventories	130,000
Notes payable	40,000
Total current assets	250,000
Total current liabilities	150,000
Net fixed assets	250,000
Common stock	200,000
Retained earnings	150,000
Total Assets	500,000
Total Liabilities & Equity	500,000

Sales in 2023 were Rs 1,000,000 and which are expected to increase by 25 percent or to Rs 1,250,000 in 2024. All assets are utilized to full capacity. The profit margin of the HMC is 8 percent and the firm is expected to maintain a retention ratio of 40 percent. a. What is the additional fund needed (AFN) of the HMC? Use AFN equation to estimate additional fund needed. b. Prepare projected balance sheet of HMC for the year 2024 and verify the amount of AFN as calculated in part 'a'.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

20. Consider the following probability distribution and returns of stock X and stock Y:

Economic conditions	Probability	Return of stock X (%)	Return of stock Y (%)
First	0.30	10	30
Second	0.40	15	20
Third	0.30	20	10

a. Calculate expected return of stock X and stock Y. b. Estimate standard deviations of stock X and stock Y. c. Compute the covariance and correlation between returns of stock X and stock Y. d. If you form a portfolio with investment of your 50 percent funds in stock X and rest in stock Y, calculate the expected return and risk of your portfolio.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

21. Consider the following income statement of Delta Manufacturing Company (DMC):

Particulars	Amount Rs
Sales (10,000 units @ Rs 40 per unit)	400,000
Less: Variable costs (10,000 units @ Rs 20 per unit)	200,000
Contribution margin	200,000
Less: Fixed costs	100,000
Earnings before interest & Tax (EBIT)	100,000
Less: Interest	20,000
Earnings before tax (EBT)	80,000
Less: Tax @ 30 percent	24,000
Earnings after tax or net income	56,000

At present, DMC has total number of 10,000 shares outstanding. a. What is the earning per share of DMC? b. Calculate operating the break-even point for DMC. c. Calculate the degree of operating leverage, degree of financial leverage and the degree of combined (total) leverage. d. What would be percentage increase in net profit if DMC increases sales by 20 percent?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section D

Comprehensive / Case / Situation Analysis Questions: [20]

22. Suppose you are BBA graduates from Tribhuvan University with finance specialization and have been appointed as financial manager of Gandaki Hydropower Company (GTC). As financial manager, you should make various financial decisions such as investment, financing, working capital and dividend decisions. At present, Chief Financial Officer of GTC has asked you to analyze two proposed projects: Project X and Project Y to make appropriate capital investment decision. The projected initial investment and expected net cash flows of projects are as follows:

Year	Cash Flows of Project X (Rs)	Cash Flows of Project Y (Rs)
0	(500,000)	(500,000)
1	120,000	300,000
2	200,000	200,000
3	200,000	320,000
4	200,000	420,000
5	100,000	100,000

Cost of capital of each project is 10 percent. You are asked to answer the following questions: a. What is payback period? Calculate payback period of each project. b. Calculate net present value of each project. c. Which project/projects should be accepted if they are independent projects? d. Which project should be chosen if they are mutually exclusive projects? Why? e. Calculate internal rate of return of each project.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.